



ILLUSTRATIONS BY **SIDDHANT JUMDE**

Key Takeaways



In FY25, the domestic automobile industry witnessed a 7.33% increase in sales to 25.6 million vehicles

5.14% growth in urban demand



Three-wheeler and passenger vehicle segments recorded best-ever sales



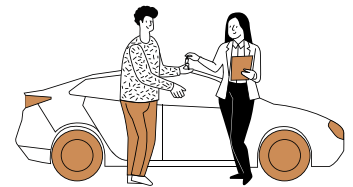
The SUV boom didn't show any sign of slowing down. The segment clocked an impressive 11% growth and accounted for nearly two-third of all passenger vehicle sales



Two-wheeler sales saw a 9% uptick to 19.6 million units



Retail rural demand grew 7.5% YoY as against



double-digit growth in market capitalisation. The triggers were growing popularity of SUVs, demand for premium models, rural sales and robust exports.

The boom in SUV demand didn't show any sign of slowing, expanding 11% to command nearly two-thirds of all passenger vehicle sales. "FY25 saw a strong performance, driven by robust export growth and solid gains in the two-wheeler segment, with India now ranking as the world's third-largest automobile market," says Anurag Singh, advisor at management consultant Primus Partners.

The rural market proved to be a steady pillar of growth for the industry in FY25. Retail rural demand trumped urban demand, aided by commuter motorcycles and small commercial vehicles.

"Rural retail grew 7.55% YoY, outperforming urban's